

NVIDIA (NVDA)

Great growth, but the street numbers got too high

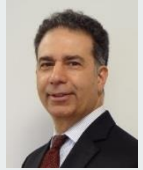
- Beat & slight miss, \$30b rev \$2b >guide; guide \$32.5b \$117m below street
- EPS 68c modest beat, street \$0.66; \$26b DC, the driving force, \$1.0b beat
- Concern, have streets numbers finally limited beat/raises; Co remains +

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What's new: NVIDIA reported after the market close on 8/28 with rev of \$30.0b, \$2b above the company's guidance with +122% growth (all Non-GAAP and y/y unless noted), but only \$823m above the street. EPS of \$0.68 was 2c above the street's \$0.66. GMs were good at 75.7%, slightly ahead of prior guidance but below 1Q25 of 78.9%. 3Q25 GM is expected to be 75.0%. As FY25 GMs are given at 75%, 4Q25 could be 70-73%. This would be due to the cost of Blackwell ramp and yield issues. Expenses came in at \$2.8b. **As always, the big issue is guidance of \$32.5b, \$117m below the street. Our impression is overall neutral.** The company is growing exceptionally well and beating their guidance. However, investors look at results vs consensus, which after 4 quarters of exceptional growth and beat/raises, the street has continuously pushed projections higher, making beat and raises difficult. Thus, a miss here. As per guidance, 3Q25 could grow ~80%, exceptionally strong, but again below the street. The shares were off 7% in aftermarket trading but were up 154% YTD before tonight.

Details: Segment highlights: Data Center (DC): Revenue of \$26.3b up 154% and 16% q/q and remains 87% of total. In FY22 DC was only 39% of rev. DC was broken down to Compute at \$22.60b +162% and Networking at \$3.7b 114%. Management suggested some good statistics that bode well for the future. Inference is more than 40% of their DC rev. Cloud customers remained 45% of DC rev with 50% from consumer, internet and Enterprise customers. **Sovereign countries revenue will be 'low double-digit billions' for the FY, out of prior street estimates of \$124b.**

CEO Jensen Huang suggests Nvidia's total DC/system approach saves money. He claims they can improve ownership cost by a factor of 2 on DC infrastructure, saving the entire DC.

There was speculation in the quarter that Hopper demand would fall off due to Blackwell being a more important and powerful accelerator. Nvidia suggested the complete opposite. Basically, the demand levels is so high, customers will take whatever Nvidia can build, and right now it is Hopper. H200 offers 40% more memory bandwidth than H100. **There was also big concern about delays with Blackwell (BW).** Management did admit that they changed the photomask of BW, but not the architecture, to increase yields from Taiwan Semi (TSMC)'s 4nm production. With this, samples have gone out to customers, they still expect a ramp in 4Q25 (2024CYE), delivering billions of rev and higher volume in CY25.

Gaming, another good qtr. Rev of \$2.88b (10% of total) was +16% and +9% q/q, \$180m above the street. Gaming has recovered from the excessive inventory post the macro slowdown and sluggish demand post COVID.

Auto: 1% of total +37% to \$346m and +5% q/q. Pretty irrelevant business vs DC.

What we recommend: Where does the quarter leave investors? 1) we expect the sell side to remain bullish on Nvidia shares given the material Generative AI opportunity. AI is big, but could be bigger than these world changing events like the PC, smartphone, Internet, etc. One quarter of below the street expectation does not end the growth story, especially with 3Q25 expected ~80% y/y growth. 2) Blackwell is still expected to ramp close to on time, and in volume in CY25, which is right around the corner. Our rating is 2/Outperform.

Current rating	2 (Outperform)
Share price (\$; 28 August)	125.61

Chart 1: Results, Consensus and Guidance

Non-GAAP basis (\$mn)	4Q24	1Q25	2Q25	Y/Y	2Q25E DCMA	2Q25E Street	3Q25E Guide	3Q25 DCMA	3Q25E Street	FY25E Street
Revenue	22,103	26,044	30,040	122%	28,220	29,217	32,500	32,485	32,617	123,511
Gaming	2,865	2,647	2,880	16%	2,700	2,700		3,312	2,940	
Data Center	18,404	22,563	26,272	154%	24,661	25,240		28,242	28,300	
Pro' Visualization	463	427	454	20%	427	450		477	476	
OEM and Other	90	78	88	33%	70	78		97	79	
Automotive	281	329	346	37%	362	345		357	366	
Gross margin (%)	76.7%	78.9%	75.7%	4.5pt	75.7%	76.0%	75.0%	75.0%	75.7%	76.1%
Operating expenses	2,210	2,501	2,792	52%	2,818	2,828	3,000	2,860	3,126	11,865
EPS (\$)	0.51	0.61	0.68	152%	0.63	0.66		0.73	0.73	2.81
CapEx	253	369	977	238%	400	421		977	454	1,800

Source: Company materials; Consensus estimates (StreetAccount, Eikon-Refinitiv). Compiled by DCMA

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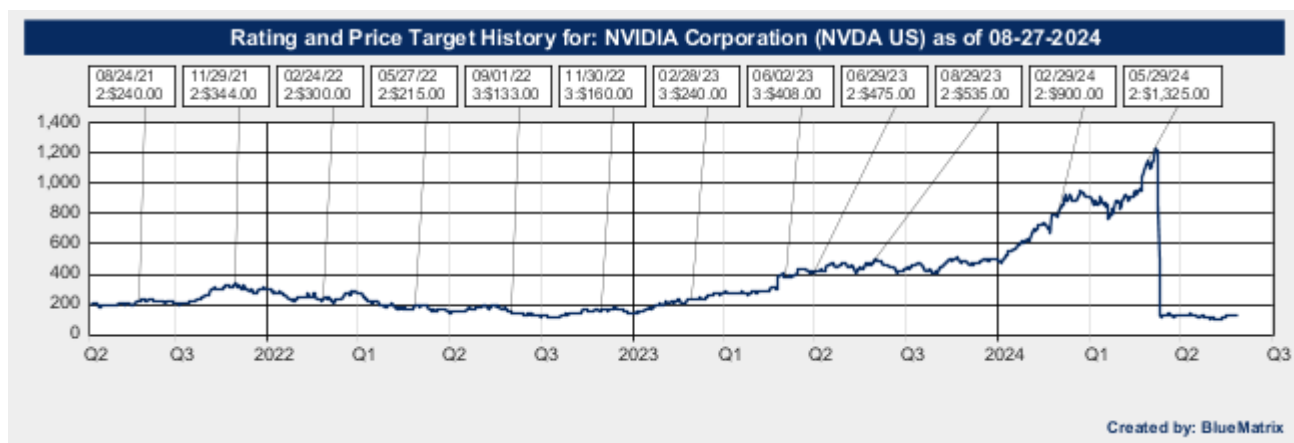
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NVIDIA Corporation (NVDA US)



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			Count	Percent
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